

INVESTIGATIVE PUBLIC RECORDS REPORT

MINE LAKE

CITY FINANCES, ANNEXATION & PUBLIC TRUST

What the records establish. What remains unexplained.
Why transparency is the only path back to trust.

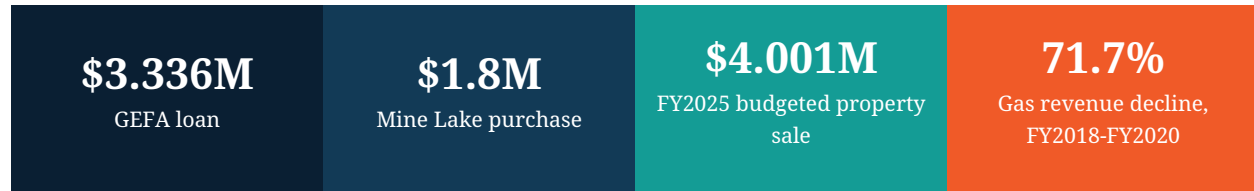
Secrecy breeds suspicion. Documentation creates the possibility of trust.

UNATTRIBUTED COMMUNITY REVIEW

Prepared August 17, 2026

Based on public audits, budgets, property records, government materials and news reporting

THE STORY IN FOUR NUMBERS



PREPARED	SCOPE
August 17, 2026	FY2017-FY2025 financial records and 2026 public actions

00 WHY THIS REPORT EXISTS

Monticello is facing a difficult and emotionally charged public debate involving the Mine Lake property, a Georgia Environmental Finance Authority loan, the City's finances, annexation, and the possibility of large-scale development. Residents deserve a discussion grounded in documents rather than rumor.

This statement does not accuse any person of theft, fraud, deception, or misuse of public funds. The available audits do not establish those conclusions. They do, however, leave important project-level questions unanswered. Those questions have become more consequential because the City later budgeted a \$4 million property sale, the property did not sell, and City leaders pursued annexation of adjoining private parcels amid discussion of a possible data center project.

The central request is simple: release the records, explain the decisions, correct any procedural failures, and allow the public to evaluate the complete picture.

01 THE MINE LAKE PURCHASE AND GEFA LOAN

County property records show that the City acquired the Mine Lake property on November 29, 2017 for \$1.8 million. The City's FY2017 audit reports a GEFA loan in the original amount of \$3.336 million, dated December 1, 2017 - two days after the property transaction.

The FY2017 audit states that the loan was to finance the costs of planning and design of six groundwater wells, that payments would be made by the Water and Sewer Fund, and that the loan carried a 1.89 percent interest rate with monthly installments of \$16,703.

At first glance, comparing a \$3.336 million loan with a \$1.8 million land purchase creates an apparent difference of approximately \$1.536 million. That comparison alone does not mean the difference disappeared. The FY2018 audit supplies additional aggregate accounting information.

Documented FY2018 amount	Amount	What it indicates
GEFA debt proceeds	\$3,336,000	Full loan proceeds reported in Water and Sewer cash flows
Water and Sewer capital acquisition/construction	\$3,253,050	Aggregate capital spending attributed to the fund
Land addition	\$1,800,000	Consistent with the Mine Lake purchase price
Inferred non-land Water and Sewer additions	\$1,453,050	Distribution and machinery/equipment additions after excluding other utility additions
Difference: proceeds vs. Water and Sewer capital spending	\$82,950	Not explained at transaction level by the audit

Important qualification: the \$1.453 million figure is an accounting reconstruction from the FY2018 financial statements. It is not an invoice-level tracing of the GEFA loan. Capital assets may include physical infrastructure and equipment as well as qualifying engineering and other costs capitalized into an asset. The audit does not identify the specific vendors, well locations, contracts, invoices, equipment, or GEFA approvals represented by that amount.

The audit narrows the apparent gap - but does not trace the money invoice by invoice

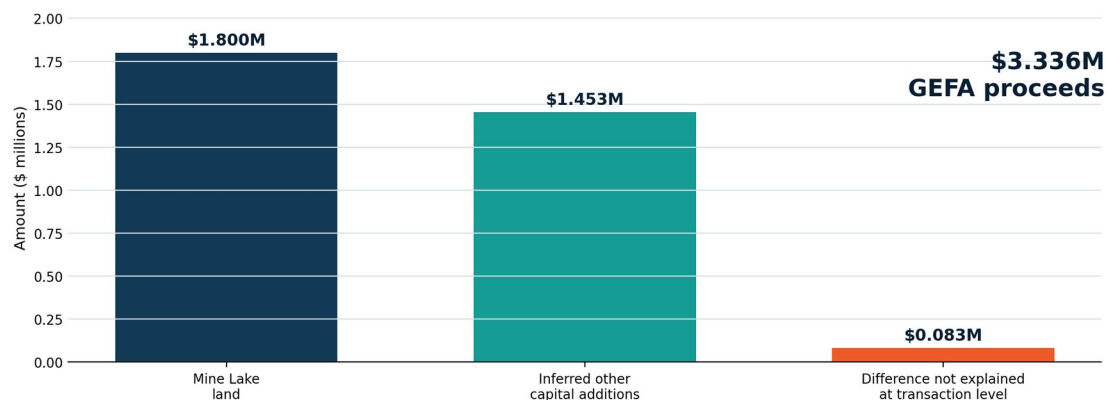


Figure 1. Audited aggregate amounts narrow the apparent gap but do not replace an invoice-level tracing of GEFA proceeds.

02 WHAT THE LATER AUDITS ADD

The FY2019 and FY2020 audits do not show the six groundwater wells as a separately identified construction-in-progress project. Land remained at the same reported amount, and the FY2020 audit shows no new business-type capital additions. This is consistent with a project that did not advance into a completed, separately identified six-well system during those years. It does not, standing alone, establish that earlier spending was improper.

The loan itself continued to be repaid. The reported GEFA balance declined from approximately \$3.267 million at June 30, 2018, to \$3.038 million in FY2019 and \$2.899 million in FY2020. That is evidence of an ongoing municipal obligation, not a vanished loan.

The audits also document growing weaknesses in the City's financial administration:

- The FY2018 audit reported late financial reports and inaccurate interim reporting as a significant deficiency.
- The FY2019 audit, issued in April 2022, reported material weaknesses involving late or inaccurate financial reporting and expenditures exceeding appropriations. It also reported that the General Fund owed the SPLOST Fund \$260,386, identified as a violation of state law.
- The FY2020 audit was issued June 20, 2024 - almost four years after the fiscal year ended. It reported two material weaknesses, seven significant deficiencies, and three compliance findings.
- FY2020 findings included inconsistent monthly bank reconciliations, material cash and interfund adjustments, unpaid payroll deductions, missing payroll approvals or timesheets in sampled transactions, checks written after year-end but dated June 30, missing purchase orders, and transactions omitted from the general ledger.
- The FY2020 Water and Sewer Fund reported an operating loss, required a substantial General Fund transfer, and reported negative unrestricted net position.

These findings do not prove criminal conduct. They do demonstrate weak controls, delayed accountability, and an elevated risk that errors or improper transactions could go undetected. That distinction matters: risk is not proof, but documented risk is a legitimate reason to demand records and independent verification.

03 ELECTRIC AND GAS REVENUES WERE USED BEYOND THE UTILITIES

The audited financial statements confirm that the City regularly transferred money from its Electric and Natural Gas enterprise funds into the General Fund. From FY2017 through FY2020, Electric transferred approximately \$357,174 and Natural Gas transferred approximately \$166,447 - a combined total of \$523,621.

Year	Electric operating income	Electric transfer to General	Gas operating income (loss)	Gas transfer to General
FY2017	\$720,850	\$44,605	\$144,200	\$46,617
FY2018	\$855,064	\$100,394	(\$86,282)	\$50,196
FY2019	\$651,928	\$124,700	(\$227,938)	\$25,893
FY2020	\$484,540	\$87,475	(\$178,508)	\$43,741

Source: audited proprietary-fund statements and interfund-transfer notes. Operating income is revenue less the operating expenses reported by the fund, including labor, services, insurance, depreciation, professional fees, repairs, and other reported operating costs. It is not the same as a utility cost-of-service study.

The Electric System produced substantial operating income in every reported year. The Natural Gas System, however, reported operating losses in FY2018, FY2019, and FY2020 while still transferring money to the General Fund. The audit notes explain generally that transfers were used to supplement operating budgets and debt-service payments. In FY2020, the General Fund received transfers from

Electric, Natural Gas, Water and Sewer, and other governmental funds, while separately transferring \$408,003 back to Water and Sewer.

This demonstrates that utility money supported general governmental activity. It does not establish whether individual electric or gas rates exceeded a reasonable cost-of-service allowance. The audits report annual totals, but they do not provide rate schedules, kilowatt-hours or therms sold by customer class, wholesale energy costs, allocation methods, rate studies, or the margin embedded in each customer's bill.

Georgia municipalities generally set the rates for their own utility systems rather than having those rates set by the Georgia Public Service Commission. A municipal utility is not necessarily limited to exact dollar-for-dollar cost recovery, and a reasonable surplus or transfer to the General Fund is not automatically unlawful. However, in *Hollis v. City of LaGrange* (2024), the Supreme Court of Georgia held that courts may consider a claim that excessive mandatory municipal utility charges used to generate general revenue constitute an unauthorized tax. The Court did not decide that the LaGrange charges were illegal; it remanded the case for consideration of the merits.

The fairness issue is more immediate than the unresolved legal issue. Ratepayers should know whether their bills are based on a documented cost-of-service methodology, how much profit is built into each rate, and what transfer formula City Council has approved. Transferring money from a utility reporting operating losses is particularly difficult to justify without a transparent financial policy and adequate reserves.

Gas transfers continued even as the fund reported operating losses

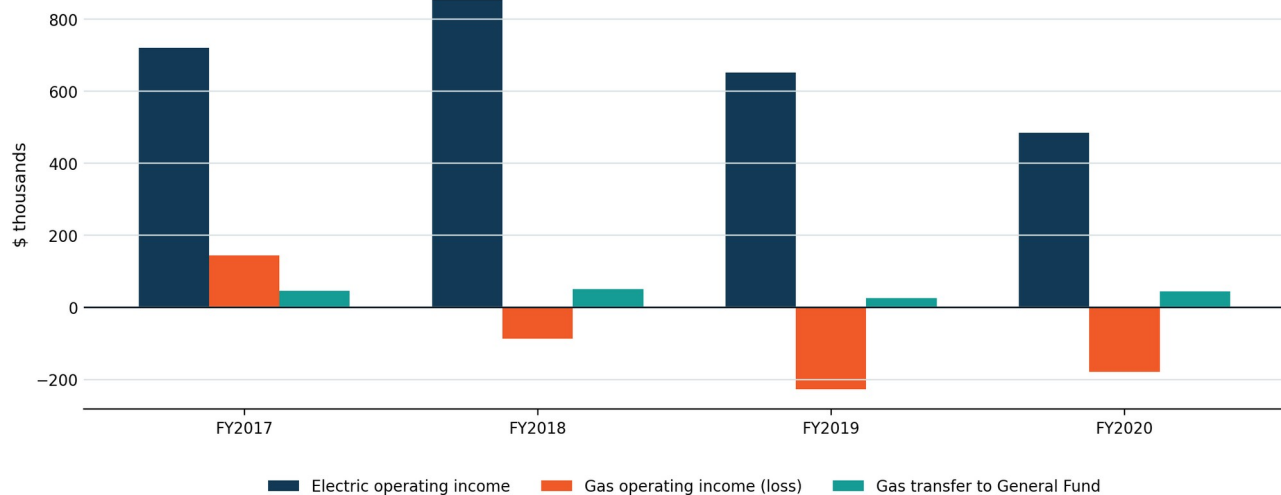


Figure 2. Audited proprietary-fund statements and transfer notes, FY2017-FY2020. Operating income includes reported noncash depreciation expense.

The Georgia-Pacific closure provides a likely explanation

Georgia-Pacific operated several facilities in and near Monticello at different times, so references to 'the Georgia-Pacific closure' require care. The closure most relevant to the FY2019-FY2020 gas decline

appears to be the Monticello medium-density fiberboard (MDF) plant. Georgia-Pacific announced a permanent closure affecting approximately 100 employees, and Georgia workforce-notice data identifies October 1, 2018 as the effective separation date.

The timing closely matches the City's gas results. FY2018 was the last complete fiscal year before the MDF closure. The plant closed approximately three months into FY2019, and FY2020 was the first complete fiscal year after closure.

From FY2018 through FY2020, Natural Gas revenue declined by approximately \$1.863 million, or 71.7 percent. Georgia environmental records describe the MDF operation as using dryers, presses, and a regenerative or hybrid thermal-catalytic oxidizer, processes consistent with substantial industrial energy consumption.

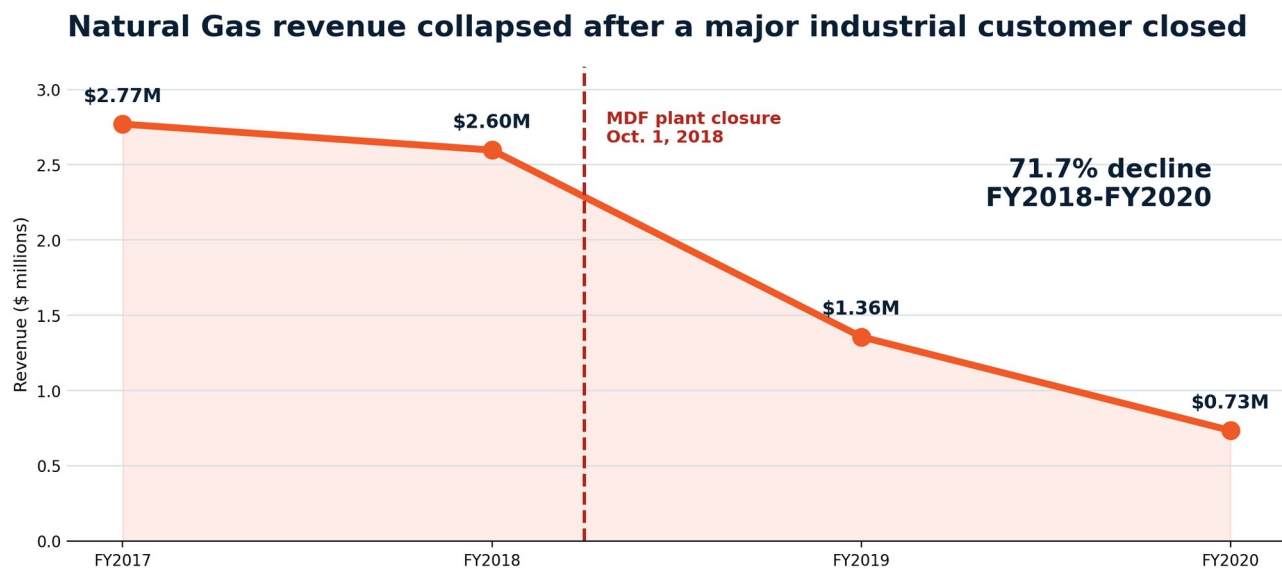


Figure 3. Annual audited Natural Gas revenue. The timing supports a strong, testable inference; customer-level billing records are still needed for proof.

This is not yet customer-level proof that Georgia-Pacific caused the revenue collapse. The audits do not identify individual customers, therms sold, or monthly billings. But the closure date and two-stage decline create a strong, testable inference: the City lost a major industrial gas customer, apparent commodity-related costs fell, and the remaining customer base was left supporting personnel, insurance, depreciation, and system costs that did not decline nearly as quickly.

The closure therefore may explain how the gas system became structurally uneconomic without proving mismanagement. The accountability question is what City leaders did after learning that a major customer was leaving: whether they reassessed staffing and rates, stopped General Fund transfers, evaluated reserves, and disclosed the long-term effect to ratepayers.

A timeline of mounting financial and governance pressure

The dates do not prove motive. They show how several separate issues converged over time.



04 THE FY2025 BUDGET CHANGES THE CONTEXT

The City's adopted FY2025 budget contains a General Fund revenue line for SALE OF PROPERTY in the amount of \$4,001,000. In the same budget, the General Fund Legislative section includes approximately \$2.393 million for GEFA note principal and \$11,250 for GEFA interest.

The budget does not identify the property by name. It therefore cannot, by itself, prove that the \$4 million line referred to Mine Lake. However, the combination of a \$4 million anticipated property sale and an unusually large GEFA principal payment strongly suggests that City officials expected a property transaction to retire a substantial portion of the GEFA debt.

The property did not sell as budgeted. This does not automatically mean the City immediately defaulted on the entire loan; the debt was structured over many years. But the failed sale would leave the underlying obligation in place and remove a major anticipated source of revenue. Given the already strained condition reflected in the FY2020 Water and Sewer Fund, that reasonably raises concern about continuing financial pressure.

05 ANNEXATION AND THE DATA-CENTER DISCUSSION

In 2026, the City pursued annexation of three privately owned parcels near Mine Lake. On August 11, the City Council approved the annexations by a 4-1 vote despite extensive public opposition. News reporting describes hundreds of residents attending and the Jasper County government preparing to challenge the City's decision.

Annexation does not transfer private ownership of those parcels to the City and does not legally merge their titles with Mine Lake. It does, however, bring adjoining property under City jurisdiction for matters such as zoning, utilities, and permitting. That can make a larger coordinated development area easier to market or develop.

The City has also acknowledged contact involving T5 and a possible data-center project. Records concerning a January 15, 2026 executive session, the T5 presentation, meeting notice, agenda, minutes, and related communications have been requested under the Georgia Open Records Act. A complaint has also been submitted to the Georgia Attorney General's Open Government process. No determination has been issued, and the existence of a complaint is not proof that a violation occurred.

The evidence supports concern about the relationship among the unsold Mine Lake property, the outstanding GEFA debt, annexation, and efforts to attract a major purchaser or developer. It does not yet prove that the annexations were undertaken solely for a data center or that City officials acted unlawfully. Those conclusions require the records that remain outstanding.

06 WHAT IS ESTABLISHED - AND WHAT REMAINS AN INFERENCE

Category	Statement
Documented	Mine Lake was acquired for \$1.8 million in November 2017.
Documented	The City reported a \$3.336 million GEFA loan for planning and design of six groundwater wells.
Documented	FY2018 reported \$3.253 million in Water and Sewer capital spending, including \$1.8 million of land and approximately \$1.453 million of inferred non-land additions.
Documented	The later audits do not separately identify six completed wells or a six-well construction-in-progress project.
Documented	The FY2025 budget anticipated approximately \$4 million from a property sale and approximately \$2.4 million of GEFA principal and interest payments.
Documented	The City approved three nearby annexations in August 2026 and had contact concerning a possible data-center project.
Documented	The Monticello MDF plant closed effective October 1, 2018, and Natural Gas revenue declined 71.7 percent from FY2018 through FY2020.
Reasonable inference	The anticipated property sale was likely connected to Mine Lake and intended in substantial part to reduce GEFA debt.
Reasonable inference	Failure of the expected sale increased pressure to find another transaction or development strategy for Mine Lake.
Not established	That \$1.8 million was stolen, disappeared, or was knowingly misappropriated.
Not established	That the annexation vote or data-center discussions were definitively unlawful, or that any official committed a crime.

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THE RECORDS NEEDED TO FINISH THE STORY

The public does not need speculation when the underlying documentation should exist. The City and GEFA should provide:

- The complete GEFA loan agreement, draw requests, closing documents, covenants, approved project scope, amendments, reimbursements, and correspondence.
- The FY2018 capital-asset ledger and detailed additions supporting the \$1.8 million land entry and approximately \$1.453 million of other Water and Sewer additions.
- All contracts, purchase orders, invoices, cancelled checks, wire records, engineering reports, surveys, plans, and vendor payment histories connected to Mine Lake and the six-well project.
- The physical location, current condition, and operational status of every asset paid for or reimbursed with loan proceeds.
- Council authorizations for the property acquisition, loan, project changes, transfers, proposed sale, and debt-retirement strategy.
- The FY2021 through current audits or, if they remain incomplete, their engagement letters, status reports, draft findings, correspondence, and expected completion dates.
- All appraisals, listings, offers, letters of intent, purchase agreements, broker communications, and marketing materials concerning Mine Lake.

- The annexation applications, ordinances, notices, agendas, recordings, minutes, staff analyses, and all communications with prospective developers or their representatives.
- Electric and gas rate ordinances, every rate adjustment since FY2017, cost-of-service and rate studies, wholesale power and gas purchase costs, customer-class sales data, transfer policies, reserve requirements, and the calculation supporting each General Fund transfer.
- Georgia-Pacific's monthly gas consumption and billing history, the service-termination date, any negotiated industrial rate agreement, total monthly therms purchased and sold, active customer counts, and internal analyses of the closure's financial effect. Account identifiers and legitimately protected commercial terms may be redacted while preserving dates, usage, revenue, and customer classification.

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A REASONABLE PATH FORWARD

Residents can demand accountability without assuming guilt. City leaders can respond without dismissing every question as misinformation. A constructive resolution should include:

- Immediate publication of the loan and capital-expenditure records in a searchable online repository.
- A public reconciliation tracing every dollar of GEFA proceeds to land, engineering, equipment, construction, retained cash, financing costs, or another documented use.
- A clear statement from GEFA confirming the approved scope and whether the documented expenditures complied with it.
- A published schedule for completing every delinquent financial audit and correcting repeat findings.
- An independent review if the records cannot be reconciled internally or if material discrepancies remain.
- A pause on irreversible Mine Lake or related development commitments until notice, meeting, records, and financial questions are addressed in public.

WHY THIS MATTERS

This is larger than one property, one loan, one annexation vote, or one potential industry. Public trust depends on residents being able to see how public money was spent and how consequential decisions were made. When audits are years late, internal-control weaknesses repeat, major transactions remain unexplained at the project level, and development discussions occur behind closed doors, skepticism is predictable.

Transparency is not an attack on Monticello. It is how Monticello protects itself.

The appropriate response is neither panic nor denial. It is documentation, independent verification, lawful public process, and candid leadership.

Running a city is hard.

Local officials inherit aging infrastructure, rising costs, workforce constraints, regulatory duties, debt obligations, and competing demands that rarely arrive with enough money to satisfy everyone. It is entirely possible that leaders facing those pressures made decisions they believed were necessary to keep the City functioning.

That context deserves empathy. It does not erase accountability.

When difficult decisions are made without complete records, timely audits, lawful notice, open discussion and a clear explanation, residents are left to fill the silence themselves. Secrecy - and even the appearance of secrecy - breeds distrust.

The public should not begin with an assumption of criminal wrongdoing. City leadership should not begin with an assumption that public questions are attacks. Both positions make a difficult problem harder to solve.

The better answer is shared responsibility: publish the records, reconcile the money, complete the audits, acknowledge procedural failures where they occurred, explain the financial pressures honestly, and invite residents into the search for a sustainable solution.

PAY ATTENTION. ASK QUESTIONS. SHOW UP. LISTEN.

Monticello does not need residents and leaders retreating into opposing camps. It needs all of us - taxpayers, ratepayers, elected officials, employees, county leaders and neighbors - to face the same facts, share the burden, and work together until we find the right answer.

Transparency is not punishment. It is the beginning of partnership.

SOURCES AND DOCUMENT REFERENCES

1. City of Monticello FY2017-FY2020 financial reports and FY2025 budget listing, University of Georgia Carl Vinson Institute of Government <https://ted.cviog.uga.edu/financial-documents/node/540>
2. FY2017 financial report <https://ted.cviog.uga.edu/financial-documents/sites/default/files//budgetdoc/financial-report/city-monticello-fy2017-financial-report.pdf>
3. FY2020 financial report <https://ted.cviog.uga.edu/FINANCIAL-DOCUMENTS/sites/default/files//budgetdoc/financial-report/city-monticello-fy2020-financial-report.pdf>
4. City of Monticello FY2025 final budget <https://www.monticellogeorgia.org/home/showpublisheddocument/943/638599268381700000>
5. City budget page <https://www.monticellogeorgia.org/government/city-council/budget>
6. WGXA, Monticello City Council approves land annexation despite community pushback, August 12, 2026 <https://wgxa.tv/news/local/monticello-city-council-approves-land-annexation>
7. The Monticello News, County plans to fight city's decision on annexation, August 14, 2026 <https://www.themonticellonews.com/2026/08/14/county-plans-to-fight-citys-decision-on-annexation/>
8. City meeting agendas and minutes page <https://www.monticellogeorgia.org/government/city-council/meeting-agendas-minutes>
9. Supreme Court of Georgia, Hollis v. City of LaGrange, decided December 10, 2024 <https://law.justia.com/cases/georgia/supreme-court/2024/s24a0963.html>
10. Georgia-Pacific announcement concerning permanent closure of the Monticello MDF plant <https://www.facebook.com/GeorgiaPacific/posts/3609623609080182/>
11. Georgia-Pacific WARN notice compilation, including October 1, 2018 Monticello separation date <https://www.warntracker.com/company/georgia-pacific>
12. Georgia EPD technical review describing the Monticello MDF manufacturing and energy-control processes <https://epd.georgia.gov/document/document/1590012pdpdf/download>
13. Jasper County 2026 brownfield application describing earlier Georgia-Pacific operations and closure history <https://www.epa.gov/system/files/documents/2026-05/r04-26-a-015.pdf>

Method and limitation

This statement is a good-faith synthesis of publicly available audits, budgets, property records, news reporting, and records-request activity available as of August 17, 2026. Financial-statement totals can show aggregate accounting treatment but cannot substitute for an invoice-level tracing of restricted loan proceeds. Statements described as inferences should be tested against the underlying records. This document is commentary and a request for transparency, not a legal or forensic-audit conclusion.